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Report Highlights:

Production of oilseeds (including canola, soybeans, and sunflower seeds) is forecast to decrease four percent in marketing year (MY) 2026/27 over the previous marketing year, to 27.55 million metric tons (MMT). In February 2026, China announced that it will suspend all agricultural tariffs on Canadian canola meal from March 1 through the end of 2026. On February 28, China announced that it will lower its anti-dumping tariff on Canadian canola seed to 5.9 percent from the 75.8 percent imposed in August 2025. Canola oil continues to be subject to a tariff of 100 percent. Several regulatory changes are expected to boost vegetable oil domestic consumption and exports in MY 2025/26 and MY 2026/27, primarily for its use as a biofuel feedstock.

EXECUTIVE SUMMARY

Oilseeds

Production of oilseeds (including canola, soybeans, and sunflower seeds) is forecast to decrease four percent in marketing year (MY) 2026/27 over the previous marketing year, to 27.55 million metric tons (MMT). This forecast is based on Statistics Canada's survey-based seeding intentions data for MY 2026/27 and an assumption that yields of canola and sunflower seed will fall to their three-year average, while soybean yields will increase to their three-year average. Area planted to canola is forecast to increase one percent compared to the previous year; a return to average yields for canola is the largest reason for the forecasted total oilseed production decline.

In MY 2026/27, total seed exports are forecast to increase seven percent on increased soybean exports due to high demand for biofuel feedstocks in the United States. This is despite a 14 percent reduction in canola seed exports due to increased domestic processing of canola seed as crush capacity rises from 13.56 MMT in 2025 to 14.8 MMT by the end of 2026. Imports of seed remains small due to Canada's limited capacity for soybean and sunflower seed processing, and its large domestic production of canola seed.

In MY 2025/26, oilseed production increased seven percent over the previous marketing year to 28.67 MMT. Canola was the main driver in the increase, despite reduced area planted, owing to it having the greatest yield gains.

Oil

In MY 2026/27, total oil production is forecast to increase by six percent over the previous year to reach 5.67 MMT, subsequently leading to increased domestic supply and a decline in vegetable oil imports (mainly soybean oil). However, soybean oil imports (mainly from Argentina) are still expected to be nearly 16 times larger than five years previous, due to demand for renewable fuel feedstock in Newfoundland and Labrador. Canada will still hold a net positive trade balance in vegetable oil as soy oil imports are still less than a third of canola oil exports.

Strong canola oil demand from the United States is expected to continue as demand for biofuel feedstock in the United States increase due to large Renewable Volume Obligations (RVO) and restrictions on the importation of foreign used cooking oil (UCO).

Canola oil exports will benefit from the U.S. Environmental Protection Agency (EPA) [announcement](#) that it is expanding its renewable fuel volume obligations (RVOs) for 2026 and 2027. Further, canola will benefit from EPA's decision to delay a policy aimed to reduce RIN credits by 50 percent for fuels produced from foreign feedstocks—such as used cooking oil (UCO) from China or canola oil from Canada.

Secondly, legislative changes made to the United States' One Big Beautiful Bill Act (OBBA) will benefit canola. The OBBA limits the U.S. Inflation Reduction Act 45Z Fuel Production Tax credit to fuel that is exclusively derived from a feedstock that was produced or grown in the United States, Mexico, or Canada.

In MY 2025/26, total oil production is forecast to increase six percent to 5.33 million MT as Canadian canola processors crush more seed to meet strong U.S. demand.

Meal

Total meal production (canola and soy) is forecasted to increase about six percent in MY 2026/27 over the previous year, driven by an increase in the volume of canola processed for oil.

In MY 2025/26, total meal production is forecast to fall over the previous year, primarily due to a decrease in soybean crush due to limited domestic supplies. Exports are forecast to be higher than the previous year due to growth in exports of both canola and soybean meal.

Table 1: Soymeal equivalent (SME) protein consumption, 1,000 MT

Protein Meal	2020/21	2021/22	2022/23	2023/24	2024/25	2025/26(f)	2026/27(f)
Meal, Soybean	2,170	2,332	2,234	2,349	2,577	2,274	2,338
Meal, Rapeseed	682	529	661	743	875	880	900
Soybean (full fat)	1,003	640	932	571	851	700	800
Sunflowerseed (full fat)	64	58	51	51	51	53	53
Total in SME	3,491	3,251	3,476	3,361	3,907	3,488	3,646

Source: Statistics
Canada; FAS Ottawa
Marketing year: Aug/July
f = forecast

ACRONYMS

45Z: The U.S. Clean Fuel Production Tax Credit (45Z) is a tax credit established by the U.S. Inflation Reduction Act (IRA) and became available on January 1, 2025

BBD: The term 'biomass-based diesel' refers to biodiesel and renewable diesel. Canola oil, soybean oil, used cooking oil, and tallow are commonly used as a feedstock in both biodiesel and renewable diesel. Current growth in BBD production in North America is primarily in renewable diesel.

BTC: Blender's Tax Credit

CFR: Canada's Clean Fuel Regulation

ECCC: Environment and Climate Change Canada

EPA: Environmental Protection Agency

RFR: U.S. Renewable Fuel Regulation

IRA: U.S. Inflation Reduction Act

MMT: Million metric tons

MY: Marketing years

PTC: Producer Tax Credit, such as 45Z in the U.S. IRA

TMT: Thousand Metric Tons

UCO: Used cooking oil

MARKETING YEARS

The marketing years used in this report are:

- August to July: Canola complex, soybean complex, sunflower complex

Canola (Rapeseed), Oilseeds

Table 2. Production, Supply, and Distribution of Canola

Oilseed, Rapeseed	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	8,900	8,908	8,760	8,748		8,838
Area Harvested	8,846	8,846	8,700	8,699		8,770
Beginning Stocks	3,231	3,225	1,597	1,597		2,571
Production	19,239	19,239	22,000	21,809		20,110
MY Imports	131	131	150	150		150
Total Supply	22,601	22,595	23,747	23,556		22,831
MY Exports	9,331	9,387	7,600	8,700		7,500
Crush	11,412	11,412	12,000	11,700		12,500
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	261	199	1,000	585		200
Total Dom. Cons.	11,673	11,611	13,000	12,258		12,700
Ending Stocks	1,597	1,597	3,147	2,571		2,631
Total Distribution	22,601	22,595	23,747	23,556		22,831
Yield	2.175	2.175	2.529	2.507		2.293

(1000 HA) ,(1000 MT) ,(MT/HA)

Canola Seed Production – Marketing Year (MY) 2026/2027

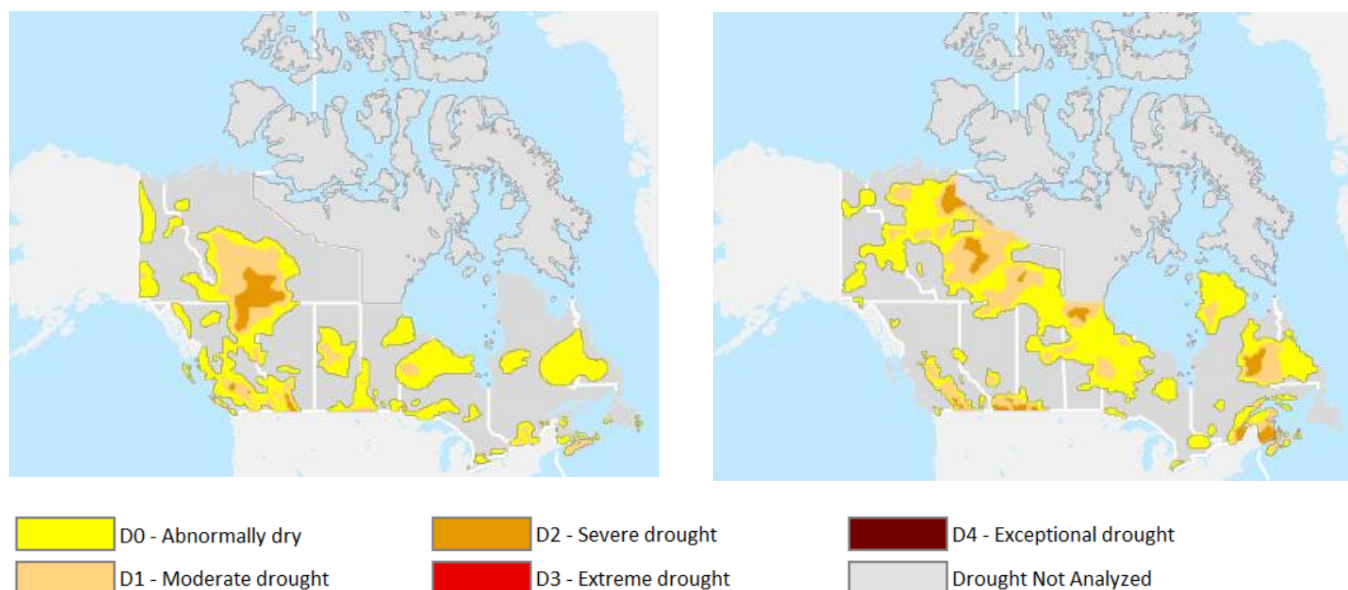
Statistics Canada's March 5, 2026, Planting Intentions Report indicates that area planted to canola is forecast to increase one percent over the previous marketing year. FAS/Ottawa forecasts that production will fall by less than eight percent, assuming yields fall in line with the three-year average.

Saskatchewan remains the dominant producer, but increased area is expected across the Canadian Prairies (Saskatchewan, Manitoba, and Alberta) in response to growing crush capacity.

By the end of March, 39 percent of the country was classified as abnormally dry or in moderate to severe drought (down from 53 percent a month earlier), including 32 percent of the country's agricultural landscape (down from 60 percent a month earlier).

While it's still early in the planting season, this data indicates that while the country is slightly drier than a year ago, less agricultural area is currently impacted by drought. Last year, by the end of March 2025, 35 percent of the country was classified as abnormally dry or in moderate to severe drought, including 37 percent of the country's agricultural landscape.

Figure 1: Drought conditions of March 31, 2025 (left) and March 31, 2026 (right)



Source: Agriculture and Agri-Food Canada's [Drought Monitor](#)

The war in Iran has impacted the global fertilizer market and will have a trickle-down impact on Canada's fertilizer market, as a reduction in supply drives up prices. This is particularly evident in Ontario and Quebec, where most of the nitrogen supply is imported from outside of North America. March 2026 [analysis from Farm Credit Canada](#) (FCC) warns that escalating nitrogen prices could severely squeeze farm margins. It states that a hypothetical 40 percent rise in nitrogen costs could cut average Saskatchewan crop margins for wheat and canola by half, from CDN \$50 per acre to CDN \$25 per acre, they state.

To date, the war in Iran has had minimal impact on Canada's potash. Potash prices rose in early March 2026 but reacted less sharply to the war in Iran than nitrogen and phosphate fertilizers. As of the second week of March 2026, the average retail price for potash in the U.S. reached U.S. \$487 per ton, a slight increase from approximately U.S. \$485 per ton in late January.

New potash market entrant, Australian-owned BHP, is developing the Jansen Potash Mine near Saskatoon, Saskatchewan, with a USD \$10.3 billion investment. The project aims for initial production by late 2026 or mid-2027, with a potential to become one of the world's largest potash mines, producing up to 8.5 million tons annually.

Canola seed production – MY 2025/2026

Canadian canola production in MY 2025/26 achieved a record-breaking year, with production reaching 21.8 million metric tons (MMT), driven by record-high average yields of 2.507 MT/hectare. Despite large production, producers reported lower harvested area in 2025 than the previous year.

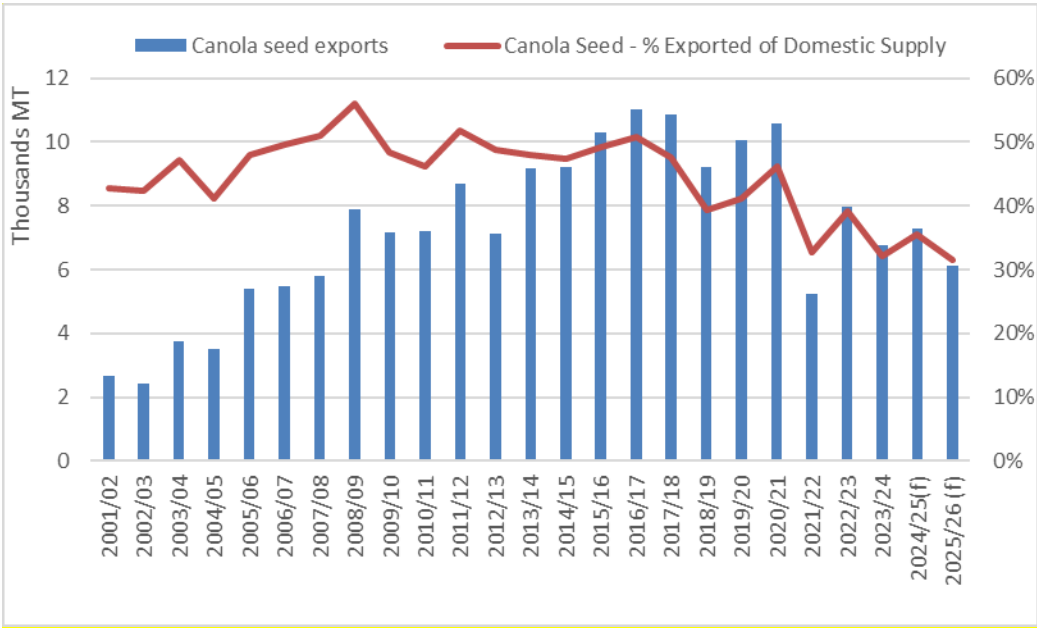
Statistics Canada significantly revised upward their 2025 canola seed production estimate, a continuation of a pattern of revisions as the agency transitions from model-based projections to farmer survey data each December.

Canola seed exports – MY 2026/2027

Post forecasts that the volume of canola seed exported in MY 2026/2027 will fall from the previous marketing year as a greater share of domestic supply is crushed within Canada. Regulatory uncertainty around the canola oil export market in the United States has been resolved, at least for 2026 and 2027 (see the canola oil export section of this report for further details), which will boost the share of seed supply going to domestic processing for canola oil export versus canola seed export. Further, Canada will see increased crush capacity in 2026.

However, domestic processors may face increased competition for canola seed from Chinese canola seed buyers due to a significant reduction in trade barriers that will allow for greater export volumes of Canadian canola seed to China. On February 28, China announced it will lower its anti-dumping tariff on Canadian canola seed to 5.9 percent from the 75.8 percent imposed in August 2025. The levy is effective from March 1 and will last for at least five years. This announcement was expected after Canada announced a preliminary deal with China on January 16, 2026.

Figure 2: Canola seed exports fall as more is retained for domestic processing



Data source: Trade Data Monitor, LLC

Canola seed exports – MY 2025/2026

MY 2025/26 year-to-date (i.e. August to February), exports of canola seed are down 28 percent over the same period of the previous year. This decrease is attributable to a significantly lower volume of exports to China due to a 75.8 percent tariff imposed on Canada’s canola seed in August 2025. A second reason for lower exports is the increased demand from domestic seed processors. Post forecasts that more than 37 percent of canola seed supply will be exported as raw product, compared to 42 percent in the previous year, as domestic crush capacity increases. Improved certainty over U.S. Renewable Identification Numbers, as explained in the canola oil section of this report, will give a further boost to domestic processing and reduce the share of seeds that go to export.

Table 3: Canadian exports of canola seed, MT ‘000

Partner Country	Year Ending					Year to Date		
	2020/21	2021/22	2022/23	2023/24	2024/25	08/24-02/25	08/25-02/26	%Δ
World	10,485,441	5,245,560	7,950,683	6,811,581	9,386,659	5,933,543	4,266,453	-28.1
Japan	2,264,852	1,382,650	1,101,055	808,807	1,724,652	946,703	891,545	-5.83
Mexico	1,346,241	1,034,210	1,208,607	582,602	857,777	469,714	621,199	32.25
France	952,422	456,790	123,250	0	530,508	315,857	445,021	40.89
Pakistan	660,414	63,686	267,016	0	0	0	424,447	0
China	2,713,379	1,265,157	4,607,522	4,859,661	4,601,908	3,241,660	332,653	-89.74
Bangladesh	231,840	269	52,583	992	138,396	88,394	323,955	266.49
United Arab Emirates	996,681	307,233	168,960	155,718	567,896	325,631	244,306	-24.97
Belgium	148,167	125,705	23,423	91,198	160,009	160,009	238,912	49.31
Germany	234,090	0	67,953	0	120,200	60,300	189,423	214.13
Netherlands	373,877	42,248	0	2	205,088	46,530	160,993	246
Portugal	42,855	0	0	0	45,429	45,429	121,939	168.42
Bulgaria	0	0	0	0	216,230	99,630	112,278	12.69
United States	428,929	537,518	318,978	299,246	148,105	94,855	88,574	-6.62

Source: Trade Data Monitor, LLC

Several factors will influence the seed and oil export balance in the second half of MY 2025/26 and beyond. A strengthening Canadian dollar could make canola seed exports less competitive, unless cancelled out by low canola prices. Secondly, seed prices remain low relative to four years ago when they were nearly double average price in the first week of March 2026. Further, similar to the MY 2026/27 outlook, domestic processors may face increased competition for canola seed from Chinese canola seed buyers due to a significant reduction in trade barriers that will allow for greater export volumes of Canadian canola seed to China.

Price sensitive countries: FAS/Ottawa forecasts increased seed exports to price sensitive countries such as United Arab Emirates (UAE), Bangladesh, and Pakistan, compared to the previous year. In MY 2019/20, when canola prices were low, UAE, Bangladesh and Pakistan imported 20 percent of the total share of Canadian canola seed exports. In MY 2023/24, when seed prices were higher, UAE imported just two percent of the total share and Bangladesh and Pakistan did not import any.

Japan: Japan will likely sustain the same share of seed imports from Canada as it did last year. Historically, Japan has relied on Canada for approximately 95-97 percent of its rapeseed imports. However, starting in MY 2021/22, Japan increased the purchase of Australian canola seeds due to a poor MY 2021/22 canola crop in Canada. Australia meanwhile had bumper canola crops in MY 2021/22 and MY 2022/23. Japanese crushers also noted higher oil extraction rates from Australian canola seeds compared to Canadian seeds. In MY 2022/23, only 38 percent of rapeseed imported to Japan came from Canada and 62 percent came from Australia. Year to date (August to February), 72 percent of imports were derived from Canada and 28 percent from Australia, similar to the previous marketing year.

European Union: Delivery volumes to the EU market have increased year to date (August to February) over the same period of the previous year, mainly used for biofuel production. Because Canadian

farmers grow genetically modified varieties, the use of rapeseed oil derived from Canadian sources is partly restricted in the EU. Canadian canola is a qualified feedstock for use in EU biofuels, but exporters and growers need to be certified if they choose to take advantage of this opportunity, which reportedly caused some bottlenecks in 2025.

China: China is an important market for Canada's canola complex. In 2023, the last "normal" year of exports for Canada's canola complex, Canada exported 65 percent of its canola seed volume, 34 percent of canola meal, and 3.7 percent of canola oil, to China, for a combined value of USD 3.7 billion.

But Canada's canola sector has had a tumultuous relationship with China, as outlined in the text box that follows. Most recently, in March 2025, China announced a 100 percent tariff rate on Canadian canola oil and meal (along with other commodities), effective immediately. In August 2025, it announced preliminary tariffs of 75.8 percent on canola seed.

On February 27, 2026, as expected by Canada, China announced that it will suspend all agricultural tariffs on Canadian canola meal from March 1 through the end of 2026. On February 28, China announced that it will lower its anti-dumping tariff on Canadian canola seed to 5.9 percent from the 75.8 percent imposed in August 2025. Canola oil continues to be subject to a tariff of 100 percent.

Timeline of major events between Canada and China affecting Canada's canola exports

2016: A 2016 Memorandum of Understanding (MOU) between Canada and China establishes the following parameters:

- Canada and China will invest resources into researching risks and mitigation of blackleg disease
- Canola seed exports to China can only go to processing facilities approved by Chinese authorities in areas where rapeseed is not grown
- Dockage limits remain at 2.5 percent, the standard set out by the Canadian Grain Commission

March 1, 2019: China delists the canola export license of Richardson International following the arrest of Huawei executive Meng Wanzhou in Canada in December 2018.

March 26, 2019: China delists the canola export license of Viterra.

March 30, 2020: China lowers the dockage limits on canola seed imports from 2.5 to 1 percent, citing sanitary and phytosanitary (SPS) concerns, increasing the processing cost for Canadian canola seed shippers and limiting the ability of other countries to export canola to China.

March 31, 2020: MOU expires, and trade continues under temporary MOUs.

May 18, 2022: China re-lists Viterra and Richardson as approved exporters of canola.

August 26, 2024: In a move backed by both major Canadian political parties, Canada places 100% tariffs on Chinese electric vehicles, to match U.S. levies and win the union vote.

September 3, 2024: China announces plans of an anti-dumping probe. Unlike the SPS approach of 2019, China adopts domestic policy approach.

September 10, 2024: China announced the launch of two investigations related to Canadian canola: one on dumping and another on industry injury. The deadline for completion of investigations is Sept. 9, 2025, although it may be extended for another six months under special circumstances, a statement from China says.

March 20, 2025: China imposes 100 percent tariff rate on Canadian canola oil and meal (along with other commodities).

August 14, 2025: China imposes 75.8 percent tariff on Canadian canola seed.

February 27, 2026: China announced that it will suspend all agricultural tariffs on Canadian canola meal from March 1 through the end of 2026.

February 28, 2026: China announced that it will lower its anti-dumping tariff on Canadian canola seed to 5.9 percent from the 75.8 percent imposed in August 2025.

Canola seed imports

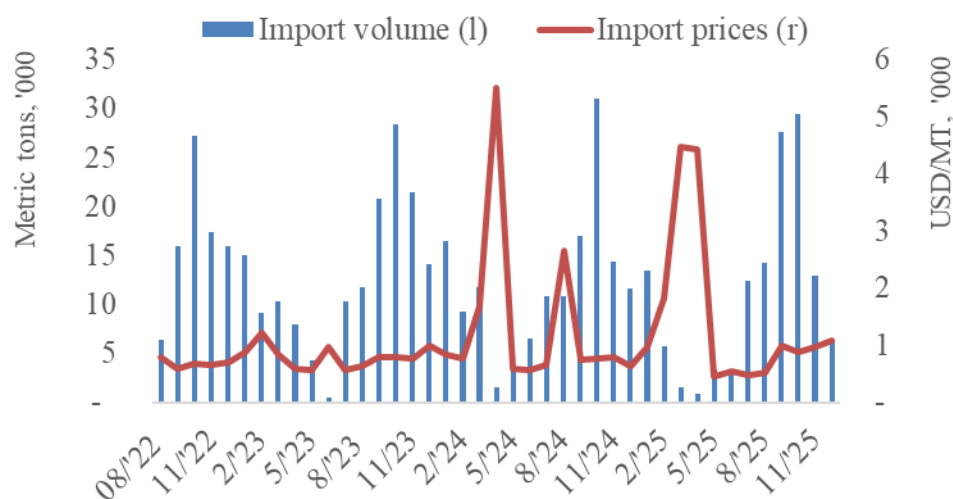
Canada has large domestic supplies of canola seed and is not a significant importer.

FAS/Ottawa is forecasting a 15 percent increase in canola seed imports in MY 2025/26, compared to the previous marketing year, a nearly eight percent drop from the five-year (MY 20/21 to 24/25) average. Market watchers speculate that the return to more “normal” import levels are likely due to the improvement of the Canadian dollar.

Canada’s dollar value vis-à-vis the U.S. dollar remains weak by comparison to the five-year average but has strengthened since 2025, and canola seed import prices have eased since the sustained high prices that persisted for five months of 2025.

About 99 percent of Canada’s MY 2025/26 canola seed imports to date have come from the United States, higher than the historical average.

Figure 3: Canada’s imports of U.S. canola seed



Data source: Trade Data Monitor, LLC

Canola seed, domestic use

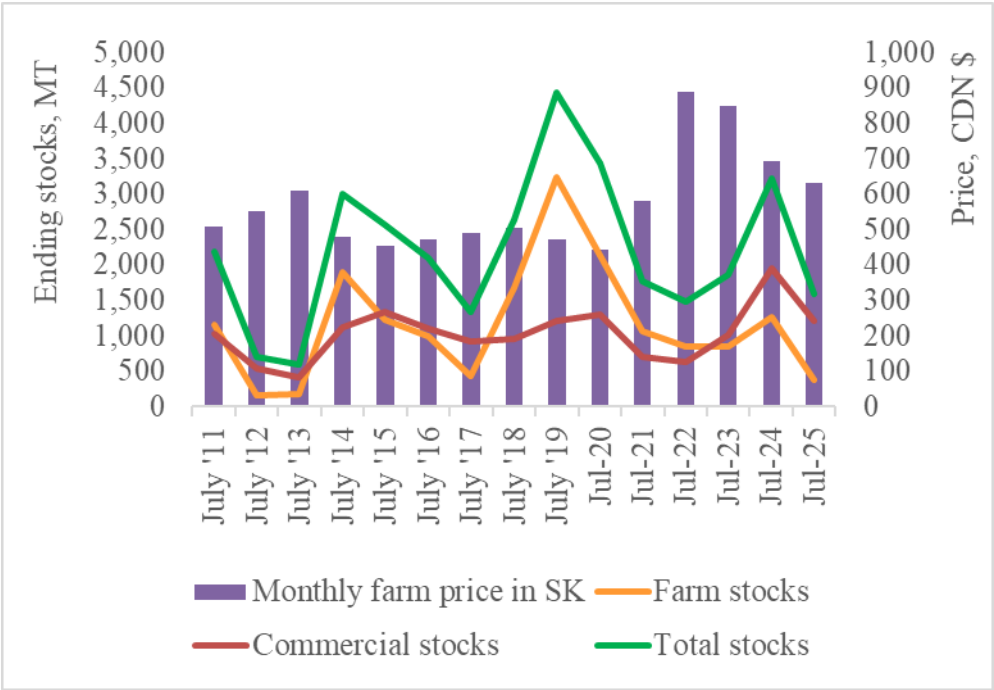
Canola seed is primarily used to crush for oil. Post is forecasting a 2.5 percent and nearly seven percent increase in canola crush in MY 2025/26 and MY 2026/27, respectively, over the corresponding previous marketing years. This increase is due to increased demand for canola oil for biofuels. See the canola oil production section for further information.

Canola seed, storage stocks

According to Statistics Canada data, as of December 31, 2025, total Canadian canola seed stocks rose 18.1 percent year-over-year to 15.6 MMT, driven by high on-farm inventory. They attribute the increase to the drop in exports, leading to burdensome carryover levels.

FAS/Ottawa forecasts storage stocks will finish MY 2025/26 higher than the previous year due to reduced exports. However, a sudden return of demand from China could drive stocks down. Similarly, MY 2026/27 stocks are forecast to remain higher than historical averages but are responsive to swings in Chinese demand.

Figure 4: End of marketing year stocks of canola seed



Data source: Statistics Canada, Table

Canola Oil (Rapeseed Oil)

Table 4. Production, Supply, and Distribution of Canola Oil

Oil, Canola	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Crush	11,412	11,412	12,000	11,700		12,500
Extr. Rate, 999.9999	0.42	0.42	0.43	0.42		0.42
Beginning Stocks	550	109	730	109		115
Production	4,821	4,821	5,102	4,960		5,300
MY Imports	16	16	20	15		14
Total Supply	5,387	4,946	5,852	5,084		5,429
MY Exports	3,327	3,327	3,525	3,400		3,600
Industrial Dom. Cons.	550	x	750	x		x
Food Use Dom. Cons.	780	x	835	x		x
Feed Waste Dom. Cons.	0	x	0	0		0
Total Dom. Cons.	1,330	1,510	1,585	1,569		1,700
Ending Stocks	730	109	742	115		129
Total Distribution	5,387	4,946	5,852	5,084		5,429

(1000 HA) ,(1000 MT) ,(MT/HA)

Canola oil production - MY 2026/2027

FAS/Ottawa forecasts that 5,300 MT of canola oil will be produced in MY 2026/27, a 6.9 percent increase over the previous year. This forecast assumes a three-year average (MY 2023/24 to MY 2025/26) oil extraction rate of 0.424 and a crush volume of 12,500 TMT canola seeds.

The Louie Dreyfus expansion in Yorkton, Saskatchewan is expected to come online in Fall 2026 and add an additional 1.15 MMT, bringing its total capacity to 2.0 MMT, and bringing total national crush capacity to 14.8 MMT.

Canola oil production - MY 2025/2026

Post forecasts that Canada will crush approximately 50 percent (11.7 MMT) of total canola supply (where supply includes stocks, production, and imports), which is above the ten-year average of 9.8 MMT. From August to January (the most recent data available), Canada has already crushed 52 percent of supply (including assumed imports), which is more than the three-year average of 50 percent for this period.

Canada's oilseed crush capacity is expected to grow from 13.56 MMT in 2025 to 14.81 MMT in calendar year 2026, with the expansion of the Louis Dreyfus crush plant in Yorkton, Saskatchewan and establishment of a new Cargill facility in Regina, Saskatchewan.

Cargill's new crush facility in Regina, Saskatchewan is expected to begin commercial operation in Spring 2025. The exact month of its opening is unknown, but Canada's Spring runs from March through May. The new Cargill facility is expected to add 100,000 MT, bringing total capacity to one million tons of canola per year. Assuming the facility operates at the equivalent of two months of near-full capacity this marketing year (which runs from August to July), Post is forecasting that Canada's crush capacity will reach approximately 13.58 MMT over the entirety of MY 2025/26, up from 13.56 MMT at the beginning of 2025.

Bunge and Viterra merged at the end of MY 2024/25, on July 2, 2025. The merger significantly impacts Canadian canola processing by centralizing over 40 percent of the nation's crush capacity under one firm, reducing competition within Canada. The merger also creates uncertainty regarding the construction of new crush facilities, such as the proposed Viterra facility in Regina.

Canola oil exports - MY 2026/2027

Several factors are expected to boost foreign demand for Canadian canola oil to record high levels in MY 2026/27.

Firstly, in March 2026, the U.S. Environmental Protection Agency (EPA) [announced](#) that it is expanding its renewable fuel volume obligations (RVOs) for 2026 and 2027. Members of Canada's canola industry state that enlarged RVOs can't be met by using only U.S. feedstocks, so the market for Canadian canola is expected to expand. As a second part of this announcement, EPA stated that it is postponing changes to how Renewable Identification Number (RIN) credits are applied to foreign feedstocks. Initially proposed in June 2025 as part of the 2026–2027 Renewable Fuel Standard (RFS) rules, the policy aimed to reduce RIN credits by 50 percent for fuels produced from foreign feedstocks—such as used cooking oil (UCO) from China or canola oil from Canada.

Secondly, legislative changes made to the United States' One Big Beautiful Bill Act (OBBBA - Public Law 119-21) on July 4, 2025, will benefit canola. For fuels produced after 2025, OBBBA limits the U.S. Inflation Reduction Act 45Z Fuel Production Tax credit to fuel that is exclusively derived from a feedstock that was produced or grown in the United States, Mexico, or Canada. This benefits Canadian canola over other foreign feedstocks such as Chinese used cooking oil (UCO).¹

Canadian canola oil is now the most prominent non-domestic beneficiary of the 45Z credit changes in the OBBBA. Industry states that fifteen percent of the U.S. feedstock mix is canola oil in the best year, including U.S. canola oil. The average over past ten years is about ten percent.

¹ U.S. imports of Chinese UCO for biofuels had been growing, and by 2024 they reached roughly 1.27 MMT.

Further, OBBBA removed indirect land use change (ILUC) penalties from the calculation of emissions for the 45Z tax credit, which allows canola oil's carbon intensity score to fall low enough to enable it to be used as a feedstock under 45Z.

However, there are also factors to watch for that could reduce Canadian canola oil exports.

Firstly, the forthcoming 2026 announcement of targeted amendments to the Clean Fuels Regulation could include national domestic content requirements on biobased diesel production, resulting in more biobased diesel facilities producing at capacity and consuming more domestic canola oil.

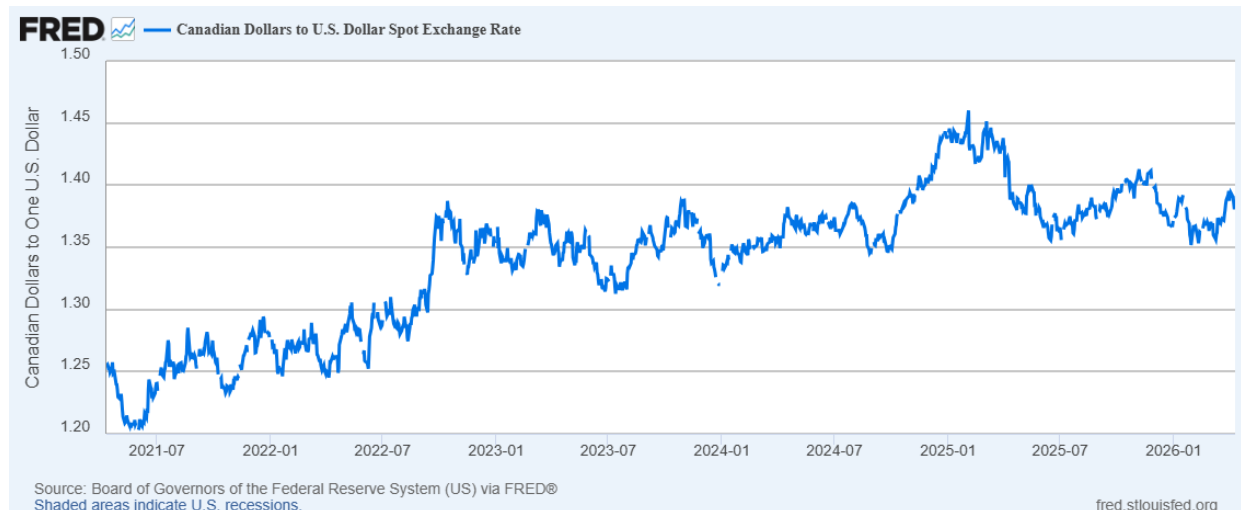
In April 2025, the California Air Resources Board (CARB) finalized amendments to the California Low Carbon Fuel Standard (LCFS). CARB proposed in August 2024 to limit virgin soy and canola oil to a 20 percent aggregate cap per company within the LCFS program. According to the American Soybean Association, currently, virgin vegetable oils account for approximately 30 percent of the feedstock used in California's biofuels market. CARB is essentially prioritizing used cooking oil and tallow over vegetable oils, and this will lead to a reduction in canola oil use in California, as fuel suppliers adjust their feedstock usage in the lead-up to the January 2028 implementation.

Separately, EPA stated that it aims to reduce RIN credits by 50 percent for fuels produced from foreign feedstocks—such as used cooking oil (UCO) from China or canola oil from Canada, beginning sometime in 2028. Details are forthcoming. In the lead-up to the implementation date, this news is expected to drive increased investment in U.S. soybean crush capacity and boost U.S. domestic feedstock demand.

Despite current free access for the oilseed complex (i.e. seed, oil and meal), the upcoming 2026 USMCA review creates potential for trade policy uncertainty.

The Canadian dollar (CAD) is projected to strengthen against the USD in 2026, with analysts anticipating a rise towards 75 cents (USD). A stronger loonie, will likely make Canadian exports less competitive than they were in 2026. A weak Canadian dollar, coupled with export prices that are currently higher than in 2025 (e.g. canola oil and canola seed), could disadvantage net export volumes, unless demand is strong enough.

Figure 5: Canadian dollars to U.S. dollar spot exchange rate



Source: FRED - Federal Reserve Bank of St. Louis

Canola oil exports – 2025/2026

Year-to-date (August to February) exports are down nearly six percent over the same period in the previous year, but this is primarily because exports to the United States were front loaded in MY 2024/25, ahead of the implementation of 45Z, whereas MY 2025/26 is expected to be back loaded. FAS/Ottawa forecasts that the pace of demand for canola oil will increase in the second half of the marketing year, raising total MY 2026/27 exports above the previous year's. This increase is driven by canola oil's eligibility under 45Z as of July 2025, and EPA's March 27, 2026 announcement of a final rule to establish required Renewable Fuel Standard volumes and percentage standards for 2026 and 2027, which will lead to an increase of canola oil feedstocks in the remaining last few months of the marketing year and into MY 2026/27.

Exports to the United States will be volatile throughout MY 2025/26 and have been since March 2024 (in the second half of MY 2023/24). Because exporters were concerned about the forthcoming details of 45Z, in March 2024 Canadian crushers began crushing at an increased capacity and exporting higher volumes of oil. This period of increased exports continued into MY 2024/25, until it was announced in January 10, 2025 that canola would be deemed ineligible for the 45Z tax credit due to its carbon intensity score.² U.S. canola oil imports from Canada then declined drastically, falling 44 percent year-over-year in the month of February 2025 and 42 percent year-over-year in March 2025. The temporary shuttering of several biobased diesel facilities in the United States and Canada in MY 2024/25 may have also contributed to the drop in canola oil exports.

² See the January 10, 2025 version of the 45ZCF-GREET (Greenhouse Gases, Regulated Emissions, and Energy use in Technologies) life cycle analysis model.

The United States remains Canada's largest export market for canola oil, due to demand for renewable fuel feedstocks. Average monthly export prices of Canadian canola oil to the United States (and everywhere, on average) have fallen since 2022 due to a combination of trade disputes, lower demand (due in part to regulatory uncertainty), and increased competition from global oilseed supplies. High tariffs from China and trade restrictions have heavily impacted exports, while increased Australian competition and a record South American soybean crop have added downward pressure.

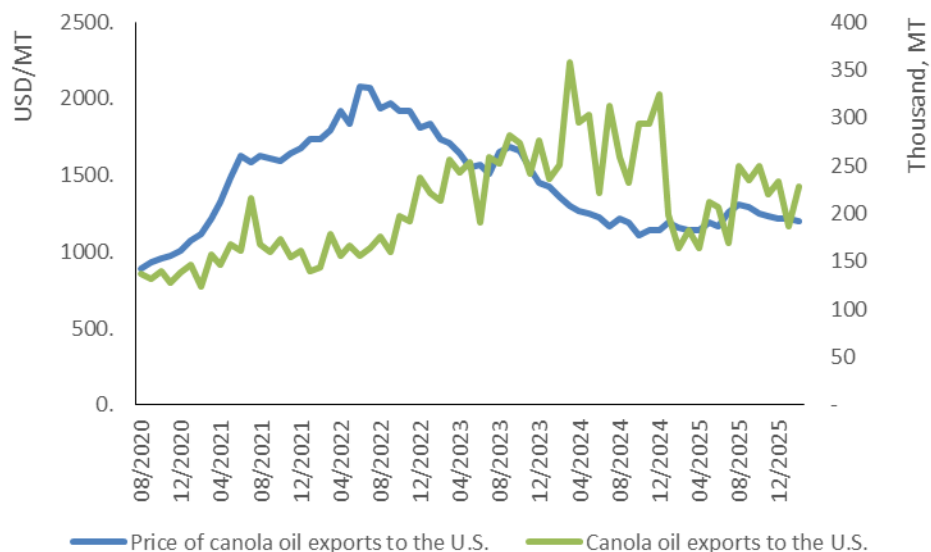
Canada's dollar value vis-à-vis the U.S. dollar remains weak by comparison to the five-year average but has strengthened since 2025. The average monthly USD/CAD exchange rate in March 2026 was 1.3720, which is greater than the five-year monthly average of 1.334, but less than the 2025 monthly average of 1.3978. This means that, while exports are not benefiting from the dollar as they did in 2025, Canadian prices are still attractive to U.S. importers.

Table 5: Canola oil exports

Partner Country	Marketing Year					Year to Date		
	2020/21	2021/22	2022/23	2023/24	2024/25	08/24-02/25	08/25-02/26	%Δ
World	3,447,563	2,573,451	3,017,521	3,444,419	3,326,674	2,099,474	1,976,828	-5.84
United States	1,793,087	1,920,492	2,599,204	3,301,865	2,699,315	1,766,237	1,602,418	-9.28
Mexico	160,457	183,301	143,456	94,893	171,148	63,614	126,052	98.15
South Korea	153,969	94,905	79,087	8,123	136,976	58,671	75,760	29.13
China	93,558	70,655	14,821	20	14,544	14,503	41,071	183.19
Belgium	23	0	0	0	0	0	40,034	0
Peru	27	315	34	3	43,507	15,000	39,518	163.45
Malaysia	0	81	0	0	20,024	10,014	18,598	85.72
Netherlands	64	149	0	156	33,309	16,757	17,044	1.71
Chile	2,311	9,591	3,001	790	8,572	2,622	9,157	249.24

Source: Trade Data Monitor, LLC

Figure 6: Canadian exports of canola oil to the United States have been volatile since MY 2023/24



Data source: Trade Data Monitor, LLC

Canola oil, imports

Canola oil imports remain small due to large domestic seed supplies and sufficient crush capacity. Of the small volume imported, the United States and India account for approximately 74 percent and 10 percent, respectively, with the remainder distributed across a range of other countries.

Canola oil, domestic consumption

Canola oil is used for food and industrial purposes, but official data does not disaggregate the two uses by vegetable oil type. In addition to its use as a bio-based diesel (BBD, or biodiesel *and* renewable diesel) feedstock, canola oil also has industrial uses in the production of paints and varnishes.

The vegetable oil and fuel trade dynamic has likely changed in Canada. Historically, Canadian canola oil makes up the bulk of vegetable oil used to *produce* BBD within Canada, but not the bulk of feedstock in BBD that is *used* in Canada. Until 2025, biodiesel produced in Canada was exported to the United States and U.S. fuel suppliers benefitted from the (now expired) Blenders Tax Credit (BTC). Meanwhile, the majority of BBD consumed in Canada was imported from the United States, produced mainly from UCO, and some soy oil. This trade dynamic with the United States changed in January 2025 when the United States converted from having a blenders' tax credit to having a producers' tax credit (45Z).

Further, domestic content requirements on renewable fuels were implemented in Ontario and British Columbia in 2025 in response to 45Z. The provinces adopted domestic production requirements due to the Canadian federal government's nonresponse to the U.S. Clean Fuel Production Tax Credit (45Z). The 45Z tax credit established by the U.S. Inflation Reduction Act (IRA) became available on January 1, 2025,³ and Canadian fuel suppliers lobbied the federal government to offer a production tax credit that approximates 45Z. In absence of similar benefits, British Columbia and Ontario imposed domestic content requirements. These requirements will presumably lead to more BBD being produced in Canada than previously, larger volumes of canola oil being used in Canada, and more Canadian-produced BBD remaining in Canada.

British Columbia requires that renewable content in diesel fuel be produced in Canada effective April 1, 2025 (and renewable content in gasoline be produced in Canada effective January 1, 2026). Further, British Columbia has increased the renewable fuel requirement for diesel from four percent to eight percent effective February 27, 2025 (the minimum renewable content requirement of gasoline remains at five percent). Any volume above the eight percent can be imported from the United States. Whether British Columbia imports renewable diesel feedstocks (such as soy oil or used cooking oil) from the United States or uses Canadian canola oil will depend on relative feedstock pricing and, somewhat, the carbon intensity scores.

On July 8, 2025, Ontario's Ministry of the Environment, Conservation and Parks [announced](#) its decision to proceed with domestic bio-based content requirements for both diesel fuel and gasoline in the Ontario market under the Cleaner Transportation Fuels (CTF) regulation. At least 75 percent of the renewable content required in diesel fuel (and 64 percent of the renewable content required in gasoline) must be produced in Canada. This announcement made Ontario the second province in Canada to announce domestic content requirements.

The measure is expected to be time-limited and temporary in nature, and the ministry will monitor the situation impacting the domestic biofuels industry.

The minimum 75 percent Canadian content requirement was prorated to 25 percent for the remainder of the 2025 compliance period due to the shorter timeframe for compliance. For subsequent compliance years the minimum domestic content requirement will remain at 75 percent on an annual basis.

³ The Clean Fuel Production Tax Credit (45Z) is a tax credit established by the U.S. Inflation Reduction Act (IRA). It is administered by U.S. Treasury and is currently scheduled to be available through December 31, 2027. 45Z replaces the U.S. blenders tax credit (BTC) that has applied to bio-based diesel (biodiesel and renewable diesel, or BBD) for many years and sunset in December 2024. Canadian biodiesel qualified U.S. importers to benefit from the sunset BTC, whereas Canadian biodiesel (nor renewable diesel) qualifies for 45Z.

Canola oil, ending stocks

Oil ending stocks differ from USDA Official and are derived from a Statistics Canada survey of industry ([Table: 32-10-0352-01](#)). Canada's canola oil stocks are consistently very low primarily due to extremely high export demand, with 86 percent of production sold internationally in MY 2024/25 (the last year of full data).

Canola Meal (Rapeseed Meal)

Table 6. Production, Supply, and Distribution of Canola Meal

Meal, Canola	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Crush	11,412	11,412	12,000	11,700		12,500
Extr. Rate	0.5880	0.5880	0.5757	0.5810		0.5800
Beginning Stocks	169	105	156	66		70
Production	6,710	6,709	6,908	6,798		7,250
MY Imports	1	1	10	6		6
Total Supply	6,880	6,815	7,074	6,870		7,326
MY Exports	5,799	5,874	5,850	5,920		6,350
Industrial Dom. Cons.						
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	925	875	1,075	880		900
Total Dom. Cons.	925	875	1,075	880		900
Ending Stocks	156	66	149	70		76
Total Distribution	6,880	6,815	7,074	6,870		7,326
SME	658.14	622.56	764.86	626.12		640.35

(1000 MT) ,(PERCENT)

Canola meal, production -- MY 2026/2027

Post forecasts that MY 2026/27 canola meal production will increase on the assumption that the extraction rate will increase marginally to align with the average of the preceding three years and that domestic processors will use about 55 percent of total supply.

Canola meal, production -- MY 2025/2026

FAS/Ottawa's MY 2025/26 meal extraction rate forecast is the average of the November and December 2025 extraction rate reported by Statistics Canada. The November/December average is generally indicative of the average extraction rate for the full marketing year.

Canola meal, domestic consumption

In MY 2026/27, canola meal use in Canada is forecasted to increase from the previous marketing year, on the assumption of a larger dairy herd size, and increased supplies. Canola meal is increasingly favored in Canadian dairy rations due to its ability to boost milk production and its competitive cost compared to soybean meal.

In MY 2025/26, canola meal consumption is forecasted to increase marginally on larger dairy herds.

Canola meal is used domestically as livestock feed, primarily for dairy cattle, but also for swine, poultry, and fish. Canola meal is also used in pet foods.

An increase in domestic crush capacity has prompted interest in ways to utilize canola differently, diversify exports into markets where livestock production is growing (e.g., IndoChina), and increase meal's nutritional and economic value. Recently, a chemical engineering team from Queen's University was granted funding to conduct a research project exploring uses of canola meal as a material feedstock.

Canola meal, trade

Canola meal exports are forecast to increase by more than five percent in MY 2026/27 over the previous year, and by less than one percent in MY 2025/26. Demand in MY 2025/26 is strong in its primary market of the United States and also in secondary markets such as in the EU; however, exports are constrained by supply.

Canada's canola meal exports are generally tied to domestic supply and have hovered around 88 percent of domestic production for the past ten years. Post's MY 2025/26 and MY 2026/27 canola meal export forecasts assume that this production-trade relationship will continue.

The United States remains the largest buyer of Canadian canola meal. Canola meal export prices to the United States remain stable relative to seed and oil. But in MY 2025/26, especially in October and February, the monthly average unit prices of canola reached the lowest monthly average since at least 2009, primarily due to Chinese retaliatory tariffs of 100 percent on imports, restricting access to its second-largest market.

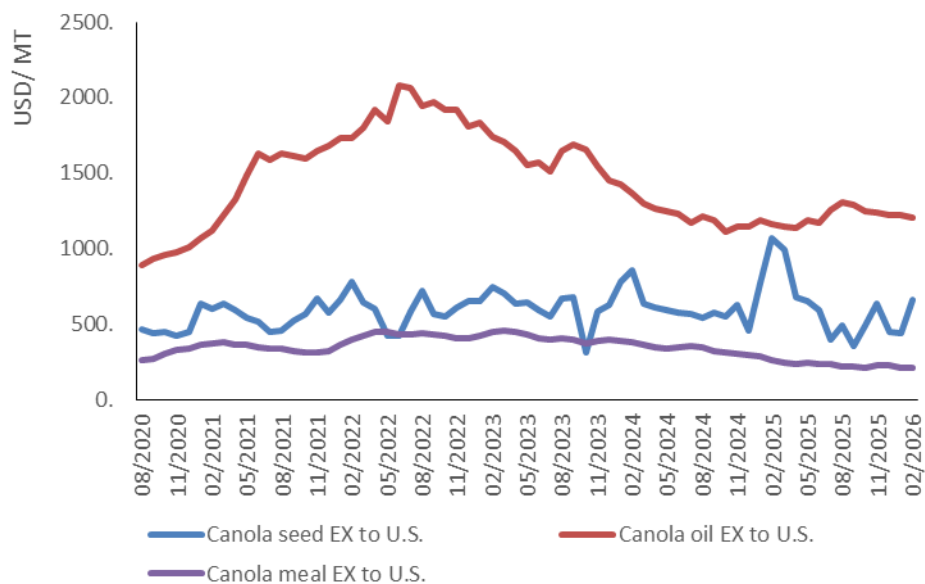
Canada is not a significant importer of canola meal, due to its oversupply of domestic production.

Table 7: Demand for canola meal is high in primary and secondary markets in MY 2025/26

Partner Country	Marketing Year					Year to Date		
	2020/21	2021/22	2022/23	2023/24	2024/25	08/24-02/25	08/25-02/26	%Δ
World	5,261,165	4,515,921	5,317,757	5,651,541	5,874,784	3,464,827	3,524,341	2
United States	3,581,060	2,920,143	3,479,952	3,617,396	3,969,343	2,229,713	2,571,530	15
Netherlands	0	0	0	0	58,251	0	217,310	0
Spain	0	0	0	0	46,019	0	209,861	0
Vietnam	926	0	0	0	53,880	632	86,596	13,602
Thailand	18,342	0	0	0	502	0	85,847	0
United Kingdom	47,537	0	7,000	0	80,050	0	76,970	0
South Korea	0	0	13	0	0	0	75,514	0
New Zealand	0	0	0	0	0	0	37,560	0
France	0	0	0	0	18,900	0	32,920	0
China	1,576,695	1,587,177	1,829,398	2,031,534	1,614,591	1,234,482	32,297	-97

Source: Trade Data Monitor, LLC

Figure 7: Unit prices of canola meal exports to the United States stable but falling



Canola meal, storage stocks

Canola meal stocks remain low due to strong export and domestic demand. Statistics Canada tracks meal stocks through its Monthly Crushing Operations Survey, which Post generally relies on. The stocks to use ratio is forecast to be roughly in line with the past two years.

Soybeans, Oilseeds

Table 8. Production, Supply, and Distribution of Soybeans

Oilseed, Soybean	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Area Planted	2,300	2,311	2,250	2,340		2,383
Area Harvested	2,290	2,290	2,321	2,321		2,364
Beginning Stocks	563	605	532	511		347
Production	7,606	7,606	6,793	6,793		7,376
MY Imports	249	250	360	283		310
Total Supply	8,418	8,461	7,685	7,587		8,033
MY Exports	5,448	5,500	5,100	4,950		5,200
Crush	1,650	1,599	1,400	1,590		1,650
Food Use Dom. Cons.	0	0	0	0		0
Feed Waste Dom. Cons.	788	851	700	700		800
Total Dom. Cons.	2,438	2,450	2,100	2,290		2,450
Ending Stocks	532	511	485	347		383
Total Distribution	8,418	8,461	7,685	7,587		8,033
Yield	3.32	3.32	2.93	2.93		3.12

(1000 HA) ,(1000 MT) ,(MT/HA)

Soybean production – MY 2026/2027

According to Statistics Canada, March release of planting intentions survey data, area planted to soybeans is forecast to increase 1.8 percent to 2.38 million hectares, owing to increased area in the major growing areas of Ontario and Quebec, and despite a reduction in area in Quebec and the minor growing area of Saskatchewan. The FAS/Ottawa forecast assumes yields to be in line with the three-year average.

Canada's Pest Management Regulatory Agency (PMRA) published a [proposed special review decision](#) for dicamba on Sept 17, 2025 that sees some uses proposed for cancellation. The proposal means that dicamba would not be used on post-emergence crops. This proposal would not have an impact on U.S.

imports to Canada because the concern is around drift. The crops most impacted would be soybeans and corn, by means of having fewer tools available to farmers that grow these crops.

Note that there is a mismatch between USDA's marketing years for soybeans and Agriculture and Agri-Food Canada's. USDA's marketing year for soybeans in Canada runs from August to July while Agriculture and Agri-Food Canada's marketing year runs from September to August. Soybeans in Ontario are primarily harvested in the fall, typically starting in the third week of September and running through October and November. This makes it the last crop to be harvested of all crops that FAS/Ottawa covers.

Soybean production – MY 2025/2026

In MY 2025/2026, national soybean production decreased nearly 11 percent over the previous marketing year, to 6.79 MMT, primarily due to intense summer heat and severe moisture stress in key growing regions, particularly Ontario and Quebec.

Soybean trade– MY 2026/2027

Imports of soybeans will remain limited by soybean processing capacity and sufficient domestic oilseed supplies (i.e. canola). Most soybean commodity volume is imported in meal form for animal feed.

Soybean imports are forecasted to increase 13 percent on increased demand from domestic processors due to increased demand from Canadian renewable fuel producers in eastern Canada, and the reduction in domestic production in 2025.

Canada is also a global leader in producing quality, sustainable, food-grade soybeans for international markets. However, starting in 2025, Canadian farmers faced new administrative burdens: only soybeans proven to be produced on land that has not been deforested since 2020 are eligible for export to the European Union (EU). Although the implementation date is in 2025, this restriction also impacts crops harvested in 2024. The EU has been one of Canada's largest and most stable export markets for soybeans. Over the preceding years, it has represented 23 percent of Canadian soybean exports.

Soybean trade – MY 2025/2026

MY 2025/26 year-to-date (i.e. August to February), exports of soybeans have reached a record high for the period, increasing three percent year-over-year to 4.49 MMT on record production levels and, potentially, increased demand from U.S. biobased diesel producers looking to back-fill foreign used cooking oil (UCO). The U.S. Treasury Department effectively blocked the import of UCO and, in recent

months, U.S. importers have benefited from a low import price from Canada, relative to monthly averages in recent years.

The pace of exports is expected to slow in the latter half of the year, constrained by domestic supply.

Table 9: Exports of soybeans

Partner Country	Marketing Year					Year to Date		
	2020/21	2021/22	2022/23	2023/24	2024/25	08/24-02/25	08/25-02/26	%Δ
World	4,553,581	4,288,563	4,239,747	4,860,926	5,550,601	4,367,999	4,492,373	2.85
EU 27 Brexit	1,011,359	1,072,661	839,815	649,117	639,367	544,837	836,765	53.58
China	527,184	480,769	1,377,560	1,528,714	1,041,653	954,103	1,766,441	85.14
Algeria	318,015	219,228	320,683	581,551	549,289	438,164	527,434	20.37
Netherlands	273,261	192,721	128,349	123,770	151,431	103,367	522,426	405.41
Iran	863,063	469,101	413,381	523,016	838,994	838,994	430,749	-48.66
Japan	294,236	288,359	380,021	339,487	402,078	206,671	198,000	-4.2
United States	141,492	146,833	102,778	217,814	429,514	229,263	195,221	-14.85
Italy	246,051	446,046	274,394	164,400	192,751	192,203	124,163	-35.4
Indonesia	269,066	291,385	264,489	281,562	317,675	130,976	106,777	-18.48
Vietnam	84,177	92,624	96,982	139,403	159,073	77,702	105,235	35.43

Soybeans domestic consumption

When soybeans are not exported to be processed, they are generally crushed into oil and meal. In addition, approximately half of the soybeans that are domestically consumed are fed whole to beef and dairy cattle as a high-protein, high-fat supplement, often when market prices make them cheaper than soybean meal, or to utilize damaged crops.

When the Bunge-Viterra merger was finalized on July 2, 2025, Statistics Canada began suppressing soybean data that same month to ensure that it was not revealing confidential production data of the only two remaining crushers in Canada, Bunge and ADM.

Therefore, StatsCan will no longer publish production data related to the soybean complex, such as soybean crush levels, oil and meal production, stock levels, and extraction rates.

Soybean stocks – MY 2026/27

Ending stocks are forecast to recover nearly ten percent from the low stocks of MY 2025/26 when levels were driven down by lower soybean production. However, strong export demand is expected to limit stocks to a level below the ten-year average.

Soybean stocks – MY 2025/26

FAS/Ottawa forecasts that MY 2025/26 ending stocks will fall by more than 30 percent on a nearly 11 percent drop in soybean production in 2025 over the previous year.

Statistics Canada reports that as of December 31, 2025, total Canadian soybean stocks fell 26.6 percent year-over-year to 3.2 MMT, driven by lower production. On-farm stocks dropped 52.4 percent to 1.4 MMT, while commercial stocks rose 30.5 percent to 1.8 MMT. On-farm stocks fell largely due to lower production in Eastern Canada, combined with an aggressive sell-off by farmers.

Soybean Oil

Table 10. Production, Supply, and Distribution of Soybean Oil

Oil, Soybean	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Crush	1,650	1,599	1,400	1,590		1,650
Extr. Rate	0.1897	0.1868	0.1900	0.1863		0.1863
Beginning Stocks	112	10	189	10		10
Production	313	299	266	296		307
MY Imports	637	637	800	1,040		800
Total Supply	1,062	946	1255	1,346	-	1,117
MY Exports	128	128	115	129		135
Industrial Dom. Cons.	475	643	700	1,047		830
Food Use Dom. Cons.	270	165	260	160		142
Feed Waste Dom.	0	0	0	0		0
Total Dom. Cons.	745	808	960	1,207	-	972
Ending Stocks	189	10	180	10		10
Total Distribution	1,062	946	1255	1,346	-	1,117

(1000 HA) ,(1000 MT) ,(MT/HA)

Soybean oil production – 2026/2027

In the absence of soybean oil extraction rates for MY 2026/27, a five-year average (MY 2021/22 to MY 2025/26) was used to determine the MY 2026/2027 rate. The oil extraction rate does not change significantly from year to year, ranging from 0.183 MT to 0.189 MT of oil derived from a metric ton of soybeans over the five-year period.

About 3.46 MMT of Canada's crush capacity, of a total of 13.35 MMT of capacity (as of February 2026), crushes soybeans, with some facilities alternating between canola and soybeans.

Soybean oil production – MY 2025/2026

A five-year average (MY 2020/21 to MY 2024/25) was used to determine the soy oil extraction rate which, along with the crush forecast, was used to determine the oil production forecast in the absence of data.

Soybean oil exports – MY 2026/2027

Soybean oil exports are forecast to increase five percent over the previous period, on strong demand from the United States. Similar to canola oil exports, factors to watch for include:

- 2026 soybean production levels, which will partly determine exportable supply;
- the 2026 announcement of targeted amendments to the Clean Fuels Regulation⁴, which could include national domestic content requirements on biobased diesel production, resulting in more biobased diesel facilities producing at capacity and consuming more domestic soybean oil;
- demand for soybean oil from the United States, as a result of high RVOs announced in March 2026;
- if Ontario or British Columbia alter or abandon their domestic content requirements on biobased diesel, this could impact the exportable supply of soybean oil. For example, if they abandon their policies, other things being equal, biofuel production could fall and exportable supply would thus increase.

Soybean oil exports – MY 2025/2026

⁴ Announced on September 5, 2025, Canada is implementing targeted amendments to the Clean Fuel Regulations (CFR) to strengthen domestic low-carbon fuel production and enhance supply security. Key changes focus on boosting the competitiveness of Canadian producers against foreign competition via potential credit multipliers and minimum domestic content requirements. The proposed amendments are expected to be published in Canada Gazette I sometime in 2026, likely not until Fall or Winter.

Exports of soy oil are forecast to be roughly in line with the previous period. Exports to date (August to February) are up 32 percent over the same period in the previous year; however, only 26 percent of forecasted production has been exported versus 43 percent at this time last year. This is owing to increased soy oil production this year and in part due to increased domestic consumption to date. Biobased diesel facilities are running at higher capacity than last year because of domestic content requirements on biobased diesel introduced in British Columbia and Ontario in 2025, which means they require increased feedstocks such as soy oil. However, renewable fuel producers may face increased competition for soybean oil from U.S. buyers in the latter part of this marketing year due to the larger U.S. RVOs announced in March.

Soybean oil imports – MY 2026/2027

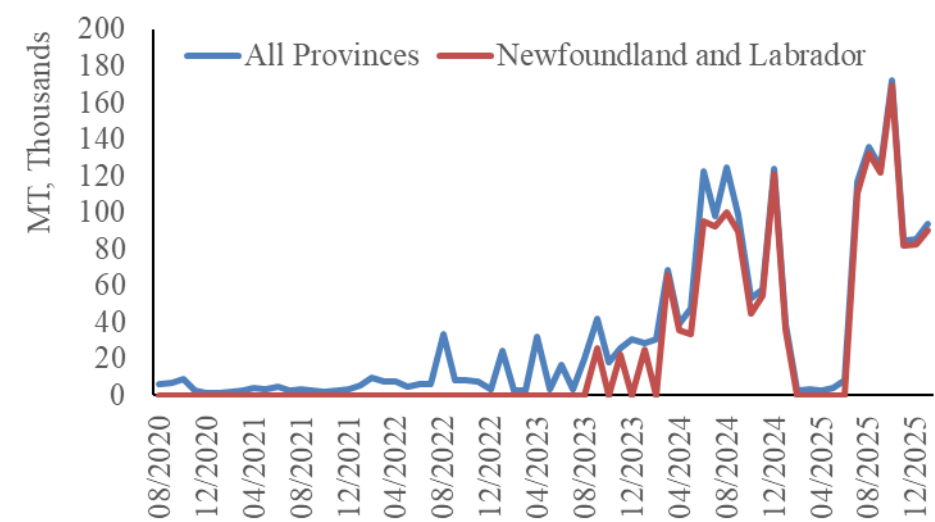
Soybean oil imports are forecast to remain at a sustained, high level, relative to years prior to MY 2025/26. Argentinian soy oil continues to be Canada's second largest imported product of the entire oilseeds complex (after soymeal from the United States). Imports of Argentinian soy oil increased significantly in 2024 when renewable diesel began being produced at the Braya Renewable Fuels facility in Newfoundland and Labrador in February 2024. Braya does not consume a significant volume (if any) vegetable oil from Canada, in part due to the logistical challenges and costs of transporting it from the canola growing regions of the Canadian Prairies, or even the soybean-growing areas of Ontario.

Newfoundland and Labrador imported just 48 TMT of soy oil from Argentina in MY 2020/21, growing to 637 TMT in MY 2024/25, and 697 TMT in just the first half of MY 2025/26. One hundred percent of the province's vegetable oil imports over this period are in the form of soy oil from Argentina, according to trade data. (The province also imported 24 TMT of corn oil from the United States in 2024, which may or may not have been used in renewable fuel production.)

Publicly available trade data indicates that nearly all of Braya's renewable diesel product is exported to the United States.

Potential downside risks to this forecast for sustained levels of soybean oil imports include any regulatory changes in the United States that could adversely affect renewable diesel exports from Canada to the United States, or regulatory obstacles that challenge foreign (i.e. Argentinian) feedstocks from being used in U.S.-consumed renewable diesel.

Figure 8: Soybean Oil Imports Increase on Demand for Renewable Diesel Feedstock



Soybean oil imports – MY 2025/2026

Soybean oil imports are forecast to grow by 63 percent over the previous marketing year, based on a 46 percent increase to date (August to February) over the same period last year on increased demand for renewable diesel feedstocks in Newfoundland and Labrador.

Soybean Meal

Table 11. Production, Supply, and Distribution of Soybean Meal

Meal, Soybean	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Crush	1,650	1,599	1,400	1,590		1,650
Extr. Rate	0.7776	0.7161	0.7971	0.7658		0.7629
Beginning Stocks	118	20	136	28		22
Production	1,283	1,450	1,116	1,218		1,259
MY Imports	1,448	1,448	1,550	1,400		1,430
Total Supply	2,849	2,918	2,802	2,646		2,711
MY Exports	313	313		350		350
Industrial Dom. Cons.						
Food Use Dom. Cons.						
Feed Waste Dom. Cons.	2,400	2,577	2,340	2,274		2,338
Total Dom. Cons.	2,400	2,577	2,340	2,274		2,338
Ending Stocks	136	28	132	22		23
Total Distribution	2,849	2,918	2,472	2,646		2,711
SME	2,400	2,577	2,340	2,274		2,338

(1000 HA) ,(1000 MT) ,(MT/HA)

Soybean meal production – MY 2026/2027

In the absence of soybean meal extraction rates for MY 2026/27, a five-year average (MY 2021/22 to MY 2025/26) was used to determine the rate. Similar to oil, the meal extraction rate does not change significantly from year to year, ranging from 0.716 to 0.78 MT of meal derived from a metric ton of soybeans over the five-year period.

Soybean meal production – MY 2025/2026

With Statistics Canada no longer publishing data on meal, since July 2025, FAS/Ottawa used the five-year average (MY 2020/21 to MY 2024/25) meal extraction rate, and the estimated crush level, to estimate MY 2025/2026 production.

FAS/Ottawa's MY 2024/25 meal production figure is also an estimate. Statistics Canada began suppressing soybean data in July 2025, which means the final month of the marketing year is an estimate.

While extraction rates for MY 2025/26 are not published, soybean meal extraction in Canada generally averages about 0.76 percent per year. The extraction rate represents the weight of soybean meal produced relative to the total weight of the processed soybeans. Approximately 75 percent of a soybean's weight is converted into soybean meal, while 20 percent is oil and five percent is hull.

Soybean meal exports – MY 2026/2027

Canada is a minor player compared to other major soybean meal suppliers like Brazil and Argentina. Soybean meal production is expected to make up only 15 percent of Canada's total meal production (i.e. soybean meal and canola meal) in MY 2026/27, and only about 29 percent of soybean meal production will be exported.

An increase in exports to the United Kingdom in MY 2025/26 could be an indication of an upward trend that will continue into MY 2026/27, driven by United Kingdom retailers' voluntary commitments to deforestation-free soy in food and feed. FAS in the United Kingdom reports that these commitments are expected to boost demand for North American origin soybean meal over the next two years.

Soybean meal exports – MY 2025/2026

To date (August to February), exports are up 23 percent over the same period last year. This is primarily due to an increase in exports to the United Kingdom and the United States. They report, "While the UK's Forest Risk Commodities legislation is still pending, demand has surged for North American soybean meal in UK animal feed rations as a proxy for a verifiably low deforestation-risk supply."

Table 12: Soybean meal exports

Partner Country	Marketing Year					Year to Date		
	2020/21	2021/22	2022/23	2023/24	2024/25	08/24-02/25	08/25-02/26	%Δ
World	362,836	406,009	379,246	326,746	312,624	172,682	211,924	22.73
EU	57,327	45,137	34,464	41,935	21,254	10,716	423	-96.05
United States	265,625	268,739	265,070	241,824	236,010	150,589	159,877	6.17
United Kingdom	29,829	88,676	78,060	40,576	54,343	11,001	51,023	363.8
Belgium	0	164	2,236	1,256	1,091	217	220	1.38
Germany	1,292	784	89	0	862	632	203	-67.88
Ireland	55,951	25,309	10,000	8,686	19,273	9,867	0	-100

Source: Trade Data Monitor, LLC

Soybean meal imports

With little capacity for soybean processing in Canada, import volume of soybean meal is expected to continue to exceed that of soybean seeds. Soybean meal is sourced primarily from the United States and is used as livestock feed. It makes up nearly 70 percent of feed meal in Canada.

Year to date (August to February), imports of soybean meal are nearly ten percent below the same period of the previous year, due to reduced feed usage.

Table 13: Soybean meal imports

Partner Country	Marketing Year					Year to Date		
	2020/21	2021/22	2022/23	2023/24	2024/25	08/24-02/25	08/25-02/26	%Δ
World	1,262,283	1,325,996	1,208,169	1,347,093	1,447,701	906,067	819,855	-9.51
United States	1,203,160	1,284,525	1,175,459	1,326,176	1,428,828	899,739	800,902	-10.99
India	53,417	26,871	15,042	11,189	12,172	3,388	11,504	239.55
Benin	0	0	0	0	0	0	3,988	0
Nigeria	0	0	216	926	1,342	385	1,982	414.81
China	1,316	5,842	3,560	1,678	1,639	820	540	-34.15

Source: Trade Data Monitor, LLC

Soybean meal stocks

Statistics Canada began suppressing soybean data in July 2025, for confidentiality.

Due to the suppression of data, the final month of stocks in MY 2024/25 and beginning stocks in MY 2025/26 are estimates.

Oilseeds, Sunflower Seeds

Table 14. Production, Supply, and Distribution of Sunflower Seeds

Oilseed, Sunflowerseed	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Area Planted	40	24	40	31		27
Area Harvested	24	24	29	29		27
Beginning Stocks	47	175	30	151		150
Production	51	51	69	69		60
MY Imports	27	25	20	27		27
Total Supply	125	251	119	247		237
MY Exports	40	40	40	35		35
Crush	0	0	0	0		0
Food Use Dom. Cons.	10	9	10	9		9
Feed Waste Dom. Cons.	45	51	40	53		53
Total Dom. Cons.	55	60	50	62		62
Ending Stocks	30	151	29	150		140
Total Distribution	125	251	119	247		237
Yield	2.13	2.13	2.38	2.40		2.23

(1000 HA) ,(1000 MT) ,(MT/HA)

Sunflower seed production, MY 2026/2027

Sunflower seed production is forecast to decrease 13 percent in MY 2026/27 over the previous year, based area planted data provided by Statistics Canada's planting intentions survey, and the assumption that yields will fall in line with the five-year average (2021/22 to 2025/26) of 2.23 MT/ hectare.

Sunflower seed is not a major oilseed in Canada and imports remain limited due to limited processing capacity.

Sunflower seed production, MY 2025/2026

Statistics Canada reports that 69,000 MT of sunflower seeds were produced in 2025, a 35 percent increase over the previous year, driven by a 29 percent increase in area planted, and improved yields over the previous year. The previous year saw the smallest area planted to sunflower seeds since MY 2011/12, due to large stocks and unfavorable market prices.

Manitoba produced 96 percent of Canada's sunflower seed in 2025 (the highest share since 2017), owing to the fact that 97 percent of area planted to sunflower seed was in Manitoba. Industry contacts estimate that in MY 2025/26 Manitoba sunflower seed area consisted of 4,717 hectares of confection and 21,405 hectares of oilseed. In the year prior, Manitoba area consisted of 4,993 hectares of confection and 7,963 hectares of oilseeds. Area planted to sunflower oilseeds grew as MY 2024/25 stocks were worked down and market prices improved. Post is not aware of breakdowns in other provinces.

Sunflower seed trade

Sunflower seed is not a major oilseed in Canada and imports remain limited due to limited processing capacity.

Sunflower Seed Oil

Table 15. Production, Supply, and Distribution of Sunflower Seed Oil

Oil, Sunflowerseed	2024/2025		2025/2026(f)		2026/2027(f)	
Market Begin Year	Aug-24		Aug-25		Aug-26	
Canada	USDA Official	Post	USDA Official	Post	USDA Official	Post
Crush	0	0	0	0		0
Extr. Rate	0	0	0	0		0
Beginning Stocks	4	5	4	5		5
Production	0		0	0		0
MY Imports	52	52	55	50		50
Total Supply	56	57	59	55		55
MY Exports	4	4	4	3		3
Industrial Dom. Cons.	0	0	0	0		0
Food Use Dom. Cons.	48	48	51	47		47
Feed Waste Dom. Cons.	0	0	0	0		0
Total Dom. Cons.	48	48	51	47		47
Ending Stocks	4	5	4	5		5
Total Distribution	56	57	59	55	0	55

(1000 HA) ,(1000 MT) ,(MT/HA)

There is no sunflower seed oil production in Canada due to limited processing capacity. Imports are low due to Canada's large supply of competing canola oil.

Attachments:

No Attachments